Home Affordability Calculator

What kind of home can afford? Many factors impact the answer to this question. Your income, DTI ratios, credit score, and specific details of the home in question to name a few. This is the problem with most affordability/mortgage calculators. All of them are centered around how much you make (usually on an annual gross basis) and almost none of them take into account your monthly expenses, passed the long-term debt you may have in your credit history (prior mortgage, car loan, student loans, etc.). If you expect to make monthly mortgage payments (like most prospective homebuyers), shouldn't you base your home affordability on how much you spend per month? It's a hard look in the mirror if you already know you're an excessive spender, but admitting this and being honest with yourself is the first step to answering the question that started this talk: what can I afford?

There are 4 main components that make up a home purchase:

1. Personal Income and Expenses
2. Monthly Home Costs (Taxes + Insurance + PMI + HOA)
3. Loan Details
4. Closing costs

<u>Personal Monthly Information</u>

This calculator, unlike most other calculators, starts the affordability assessment by first taking into account the amount of living expenses you have (utilities, phone/internet service, streaming subscriptions, shopping, groceries, gas, eating out, and any other expenses you accrue on a monthly basis).

Next the calculator factors in your net monthly income—aka "take home pay". It's the amount that shows up in your bank account multiplied by 2, if you get paid biweekly. From there you plug in the two of the most important factors for long-term financial success: savings amount and investing amount.

After inputting how much you save and invest each month, you'll have your target monthly home costs. This is generated based on the expense, income, and saving/investing info you entered. This is the most important number for you because it's what your budget permits as the ideal monthly housing expense total. This is the number you keep in mind when assessing month-to-month home affordability. This is the number you keep in mind when speaking to real agents and loan officers that insist—based on their expert analyses—"the home is within your budget".

<u>Home Costs</u>

Home costs consists of estimated tax, insurance, HOA, and PMI. After filling out the monthly amounts for HOA dues, real estate taxes, homeowners' insurance, and private mortgage insurance (PMI), the result would be the ideal, bare monthly loan payment pertaining to the loan that you would receive from the lender (usually a bank).

The below explains the parameters further in more detail:

- HOA dues – cost passed down to neighborhood residents for the maintenance community amenities such as swimming pools, parks, gyms, etc.
- Real estate taxes – the taxes assessed on the house each year (divide by 12 to get monthly amount)
- Private mortgage insurance – the amount paid on top of the mortgage payment when you put down less than 20%. It serves as protection against borrowers who default on their mortgage
- Homeowners insurance – this a premium you pay in exchange for protection against any damage sustained by the house

The estimates we generate for these monthly home costs are between 3 and 7% of the target monthly home costs.

Loan Details

Next you must fill out the interest rate you anticipate receiving your home loan, along with the term of the loan. The real estate agent will most likely provide you with the rate for a prospective home purchase. If you don't have any particular home in your sights, we'll do our best to project the interest rate you may receive, given the zip code in which you're searching. The result of this page is the target loan amount (the amount of money the bank is willing to lend you in order for you to purchase you're the house).

Just a heads up! The bank will never lend you more than what the house is worth, so before finalizing the loan they request an appraisal which means a certified professional goes to the home and assesses its value. Consequently, the actual amount being financed is always the minimum between the appraised value and the house's selling price. For example, if you're trying to purchase a house selling for $320k but the house appraises for only $314k, the bank will only loan you $298.3k (assuming a down payment of 5%). That means you would have to come out-of-pocket $320k - $314k = $6,000 more on top of the down payment, in order to close on the property. So as a disclaimer, the target loan amount shown in this section is subject to change based on the appraised value of the home you're looking at.

Cash-to-Close

In order to receive a home loan, the prospective buyer must declare a down payment (the percentage of the home price/appraised value that you're paying out-of-pocket, plus any difference between sales price and appraised value). Some common down payments include 3%, 5%, and 7%. It's entirely up to you how much you want to put down, and it usually depends on how much money you've saved in order to close on the property. It's also good to keep in mind that if you decide to put down 20% or more, you avoid the monthly PMI premium mentioned in the Home Costs section.

After selecting your desired down payment percentage and estimated closing costs, the result is your Home Affordability amount. Take this price make this your maximum when searching for homes. This will save you time and money when it comes to meeting with your real estate agent and searching for houses on your own. You'll know exactly what you can afford without the guess work that comes with

starting from house price and working your way down to the monthly payment. The closing costs include the realtors' commission, court fees, title insurance, and in some cases the remainder of the current year's property tax and HOA dues. If you don't have the exact closing costs, we'll generate estimates for you (the generated estimate is about 5% percent of the Home Affordability amount).

Conclusion

The home affordability calculator is the easiest, smartest way to generate a house price that you can actually afford. It all boils down to the cost of living that you incorporate into the analysis. You may delve into the housing market with your newfound range and find that it's well below what houses are selling for. This shouldn't be the end of your journey, but rather the beginning.

If you suspect monthly expenses are getting in the way of achieving market affordability, track your expenses over time and periodically adjust the expenses amount that you've inputted into the calculator. The calculator is sensitive down to even the most minute changes in expense amounts. There's also a whole section within the Key Insights focused on cost minimization. Under Cost Minimization you'll find a list of your expenses alongside the U.S. monthly averages for those expenses. This will show you were exactly where you could potentially cut costs.

Similar to the Cost Minimization section there's also an Income Maximization section which list out your various job titles alongside industry-specific average U.S. salaries for those roles. This section should be used a guide to negotiate potential raises, if you find that your salary is below average. Note that the income maximization processed used here does not take into account geographical factors, years of experience, or tenure.

It's unlikely that you drop your expenses cold-turkey. But by using the calculator to update your expenses periodically, you'll be able to track your home affordability range over time. This is the true value behind this tool. The ability to clearly see the benefits of monitoring your spending, in terms of max home affordability; the most rudimentary yet most efficient way to get you into the house of your dreams, while also giving you the peace of mind needed to make the big purchase.